How to Draft a Legal Notice After Dishonour of Cheque

(A Complete Step-by-Step guide)

By Advocate Vivek Tanwar

B.A.LL.B., LL.M. (NET)

INDEX

S. No.	Description	Page No.
1	**Introduction (परिचय)**	2
2	**What is a Cheque Bounce? (चेक बाउंस क्या है?)**	3
3	**When and Why to Send a Legal Notice? (कानूनी नोटिस कब और क्यों भेजें?)**	4
4	**The Anatomy of a Legal Notice: Where to Write What (कानूनी नोटिस की संरचना: कहाँ क्या लिखें)**	5-6
5	**Sample Legal Notice Format (कानूनी नोटिस का नमूना प्रारूप)**	7-8
6	**Conclusion (निष्कर्ष)**	9

1. Introduction (परिचय)

English: Welcome to this guide. Dealing with a bounced cheque can be stressful and confusing. You trusted someone, lent them money or provided a service, and the cheque they gave you was returned by the bank. What do you do next? The law provides a strict remedy under Section 138 of the Negotiable Instruments Act, 1881. But before you can file a court case, you must send a formal "Legal Notice" to the person who gave you the cheque. This e-book is designed to simplify the law and teach you exactly how to draft this notice.

Hindi (हिंदी): इस मार्गदर्शिका में आपका स्वागत है। चेक बाउंस होने का सामना करना तनावपूर्ण और भ्रमित करने वाला हो सकता है। आपने किसी पर भरोसा किया, उन्हें पैसे उधार दिए या कोई सेवा प्रदान की, और उनके द्वारा दिया गया चेक बैंक द्वारा वापस कर दिया गया। अब आप क्या करेंगे? कानून नेक्राम्य लिखत अधिनियम (Negotiable Instruments Act), 1881 की धारा 138 के तहत एक सख्त उपाय प्रदान करता है। लेकिन कोर्ट में केस दायर करने से पहले, आपको उस व्यक्ति को एक औपचारिक "कानूनी नोटिस" भेजना होगा जिसने आपको चेक दिया था। यह ई-बुक कानून को सरल बनाने और आपको यह सिखाने के लिए बनाई गई है कि यह नोटिस कैसे तैयार किया जाए।

---

2. What is a Cheque Bounce? (चेक बाउंस क्या है?)

English: A cheque bounce (or dishonour of a cheque) happens when you present a cheque to your bank for payment, but the bank returns it unpaid. This usually happens for reasons like:

- **Funds Insufficient:** The person doesn't have enough money in their account.
- **Account Blocked/Closed:** The account has been stopped or blocked by the account holder or the bank.
- **Signature Mismatch:** The signature on the cheque doesn't match the bank's records.

Hindi (हिंदी): चेक बाउंस (या चेक का अनादरण) तब होता है जब आप भुगतान के लिए अपने बैंक में चेक जमा करते हैं, लेकिन बैंक इसे बिना भुगतान किए वापस कर देता है। यह आमतौर पर इन कारणों से होता है:

- **अपर्याप्त राशि (Funds Insufficient):** व्यक्ति के खाते में पर्याप्त पैसा नहीं है।
- **खाता ब्लॉक/बंद होना (Account Blocked/Closed):** खाताधारक या बैंक द्वारा खाता रोक दिया गया है या ब्लॉक कर दिया गया है।
- **हस्ताक्षर का मिलान न होना (Signature Mismatch):** चेक पर हस्ताक्षर बैंक के रिकॉर्ड से मेल नहीं खाते हैं।

(Insert Image Here: An infographic showing a cheque going into a bank and coming out with a "Bounced" stamp)

---

3. When and Why to Send a Legal Notice? (कानूनी नोटिस कब और क्यों भेजें?)

English:

You cannot just wake up and file a criminal case for a bounced cheque. The law requires you to give the defaulter one last chance to pay you back.

- **The 30-Day Rule:** You must send the legal notice within **30 days** of receiving the "Return Memo" (the slip the bank gives you stating the cheque bounced).
- **The 15-Day Warning:** The notice must clearly tell the defaulter that they have **15 days** from the receipt of the notice to pay the money. If they fail to pay within these 15 days, you can file a case in court.

Hindi (हिंदी):

आप चेक बाउंस होने पर सीधे आपराधिक मामला दर्ज नहीं कर सकते। कानून के अनुसार आपको उस व्यक्ति को पैसे चुकाने का एक आखिरी मौका देना होगा।

- **30-दिन का नियम:** आपको बैंक से "रिटर्न मेमो" (वह पर्ची जो बैंक देता है जिसमें लिखा होता है कि चेक बाउंस हो गया है) प्राप्त होने के **30 दिनों के भीतर** कानूनी नोटिस भेजना होगा।
- **15-दिन की चेतावनी:** नोटिस में स्पष्ट रूप से डिफॉल्टर को बताना चाहिए कि उनके पास नोटिस प्राप्त होने के बाद पैसे चुकाने के लिए **15 दिन** का समय है। यदि वे इन 15 दिनों के भीतर भुगतान करने में विफल रहते हैं, तो आप अदालत में मामला दायर कर सकते हैं।

---

4. The Anatomy of a Legal Notice: Where to Write What

(कानूनी नोटिस की संरचना: कहाँ क्या लिखें)

(Note: For this section, you can use a screenshot of the drafted notice below in your Word file, with arrows pointing to the different parts).

Let's break down the format step-by-step so anyone can understand it:

1. **The Letterhead/Sender:** At the very top, write the name, phone number, and office address of the Advocate sending the notice.
2. **Date and Reference Number:** Always include the exact date the notice is being printed and sent. This proves you sent it within the 30-day limit.
3. **To (The Addressee):** Here, write the full name and complete address of the person who issued the bounced cheque. If they have a business address and a home address, mention both to ensure delivery.
4. **The Subject/Heading:** Write a clear, bold heading stating that this is a Demand Notice under Section 138 of the N.I. Act. Mention the cheque number, date, and amount right here.
5. **Opening Statement:** State clearly that you are sending this notice on behalf of your client (the person who was supposed to receive the money).
6. **The Background Story (Paragraphs 1 & 2):** Briefly explain *why* the cheque was given. Was it a friendly loan? A business transaction? Mention the exact amount owed and the date it was given.

7. **The Cheque Details (Paragraph 3):** Mention exactly when the cheque was handed over, its number, the amount, the date written on it, and the bank it belongs to.
8. **The Dishonour Event (Paragraph 4):** This is crucial. State the date you deposited the cheque into your bank, and the date the bank returned it with the specific reason (e.g., "Funds Insufficient" or "Account Blocked").
9. **The Demand (Paragraph 5 & 6):** This is the ultimate purpose of the notice. You must demand the exact cheque amount to be paid within **15 days** of receiving the notice. Warn them that failing to do so will result in a criminal case under Section 138 of the N.I. Act.
10. **Signatures:** The Advocate must sign at the bottom. Keep a copy for your records.

---

5. Sample Legal Notice Format (कानूनी नोटिस का नमूना प्रारूप)

Below is a standard format with dummy credentials. You can replace the bracketed information with your real case details. This follows the exact legal structure required by courts.

(Name of Advocate)
Advocate
Off.: Chamber No.: ____, District Court, Rohtak (Haryana)
Mob: 98XXXXXXX

Ref. No. VT/138/2026/01 Date: 19.04.2026

To,

Rahul Sharma son of Sh. O.P. Sharma,
Resident of House No. 45, Model Town,
Near City Park, Rohtak, Haryana.
Mob: 9988776655

Subject: Demand Notice under section 138 (b) of the Negotiable Instruments Act, 1881, for dishonour of cheque bearing No. 112233 dated 05.04.2026 amounting to Rs. 3,00,000/- (Rupees Three Lakhs only).

Sir,

On behalf of my client, Amit Patel son of Sh. Rajesh Patel, resident of Sector 14, Rohtak, Haryana, I serve upon you this demand notice for the payment of Rs. 3,00,000/- (Rupees Three Lakhs only) towards your legal liability under cheque bearing no. 112233 dated 05.04.2026 issued by you, as under:

1. That my client and you have known each other for several years and share friendly relations.
2. That in the month of January 2026, you were in urgent need of money for your business expansion and requested my client for a friendly loan of Rs. 3,00,000/- (Rupees Three Lakhs only). My client, trusting you, gave you the said amount in cash on 10.01.2026.

3. That to discharge your legal liability to repay the borrowed amount, you issued a cheque bearing No. 112233 dated 05.04.2026 for Rs. 3,00,000/- drawn on HDFC Bank, Model Town Branch, Rohtak, in favour of my client. You assured my client that the cheque would be honoured upon presentation.
4. That relying on your assurance, my client presented the said cheque for encashment through his banker, State Bank of India, Sector 14 Branch, Rohtak, on 08.04.2026.
5. That to the utter shock and surprise of my client, the said cheque was dishonoured and returned unpaid by your banker vide Return Memo dated 10.04.2026 with the endorsement "Funds Insufficient".
6. That my client immediately informed you about the dishonour of the cheque, but you gave evasive replies and completely failed to make the payment, showing your dishonest intention to cheat my client.
7. That it is clear you issued the said cheque knowing fully well that your account did not have sufficient funds, thereby committing an offence under Section 138 of the Negotiable Instruments Act, 1881.

I, therefore, through this legal notice, call upon you to make the payment of Rs. 3,00,000/- (Rupees Three Lakhs only) to my client within 15 days from the date of receipt of this notice. If you fail to make the payment within the stipulated 15 days, my client shall be constrained to initiate strict legal action against you, including filing a criminal complaint under Section 138 of the N.I. Act, 1881, in the competent court of law, entirely at your own risk, cost, and consequence.

Place **Name of Advocate**

Date Advocate, Rohtak

Note: A copy of this legal notice has been kept in my office for further legal action.

6. Conclusion (निष्कर्ष)

English:

Sending a legal notice is the crucial first step in recovering your hard-earned money. It sets the legal foundation for your case. Ensure that you send this notice via Registered Post with Acknowledgment Due (AD) or Speed Post so you have valid proof of delivery. Law doesn't have to be complicated, and with the right format and timely action, you can protect your rights efficiently.

Hindi (हिंदी):

कानूनी नोटिस भेजना आपकी गाढ़ी कमाई वापस पाने की दिशा में पहला और सबसे महत्वपूर्ण कदम है। यह आपके मामले के लिए कानूनी आधार तैयार करता है। सुनिश्चित करें कि आप यह नोटिस रजिस्टर्ड पोस्ट (एडी के साथ) या स्पीड पोस्ट के माध्यम से भेजें ताकि आपके पास डिलीवरी का वैध प्रमाण हो। कानून का जटिल होना जरूरी नहीं है, और सही प्रारूप तथा समय पर कार्रवाई के साथ, आप प्रभावी ढंग से अपने अधिकारों की रक्षा कर सकते हैं।

THANK YOU….